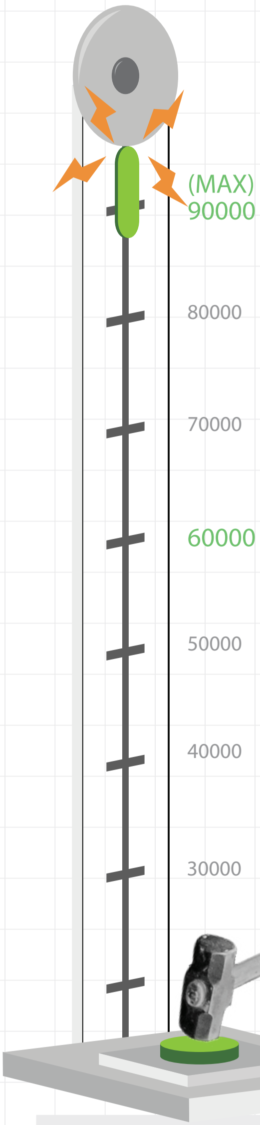
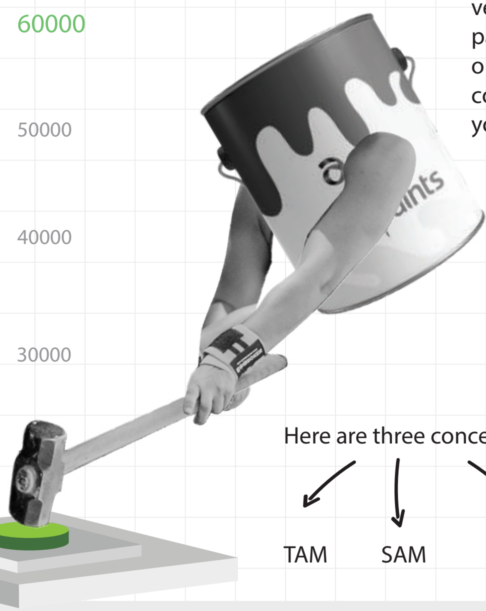


Let's take an example of the paint industry where they sell 90000 crores of paint annually in India. Out of this amount, One company sells 60000 crores worth of paint. Now, this company will never be able to sell Rs 1 lakh crore worth of paint unless this market significantly increases.

So this is where the market starts to become an issue. Since investors want a large market, the question comes down to this: how big can you become? Here the investor would not want to limit their possibility in early stage. No investor will partner with a company with a very small market opportunity. Thus, you need to consider the total market size your product can solve.



Here are three concepts:

TAM SAM SOM

TAM - Total Addressable market - This refers to entire market for a product or service.

SAM - Serviceable Addressable market - This refers to the part of TAM that is relevant to the company that they cater to. No business can cater to entire market.

SOM - Serviceable obta that the company can obtain with its product F KS ceable market that can be obtained.